JUDGMENT SHEET

IN THE ISLAMABAD HIGH COURT, ISLAMABAD
(JUDICIAL DEPARTMENT)

RFA No.152 of 2013

Sardar Ahmed
Vs.
M/s Shahi Beverages (Pvt.) Ltd. and others

RFA No. 46 of 2017

M/s Shahi Beverages (Pvt.) Ltd. and others
Vs.
Sardar Ahmed

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Appellant by : Ch. Imtiaz Ahmed Advocate.

Respondents by : Rao M. Akram Khurram Advocate.

Date of Hearing : **16-6-2025.**

SAMAN RAFAT IMTIAZ, J.-

1. This Judgment shall decide both the above captioned Appeals as they involve common questions of law and facts.

2. Briefly stated the facts leading up to the filing of both the instant Appeals as gleaned from the record are that the Appellant in RFA 152 of 2013 [Mr. Sardar Ahmed] filed a Suit for Recovery of Rs.19,990,000/- with mark up under Order XXXVII of the Code of Civil Procedure, 1908 **("CPC") ("Suit")** against the Respondents Nos. 1, 2, 3 and 4 [M/s Shahi Beverages (Pvt.) Limited; Mrs. Memoona Mohsin, Managing Director; Mr. Mohsin Ali, Director; M/s Mak Beverages (Pvt.) Limited]. He stated that the Respondents No. 1 and 4 are sister concerns managed and controlled by the Respondents No. 2 and 3 and as such all four Respondents are jointly

and severally liable to the Appellant. He alleged that he had business transactions with Respondents and its distributors for their beverages products. According to the Appellant the Respondents No. 2 and 3 acting on behalf of the Respondents No. 1 and 4 and on their personal behalf borrowed Rs.19,200,000/- to meet the emergent financial needs of the Respondents No. 1 and 4 from one Chaudhary Arshad Mehmood with a promise to return in a very short span of time. The Appellant and Chaudhary Arshad Mehmod had cordial business relations. On the personal assurance of the Appellant Chaudhary Arshad lent the money to the Respondents on 28-5-2004. The Appellant keeping in view very old business relations with the Respondents and on their specific assurance returned Rs.19,200,000/- to Chaudhry Arshad Mahmood on their behalf. The Respondents additionally borrowed Rs.790,000/- for their day to day business making the total sum loaned Rs.19,990,000/-. The Respondents acting jointly and severally issued nine cheques for return of the loan. However, on presentation for encashment the aforesaid cheques the same were dishonoured. The Appellant agitated and the Respondents made promises to pay the said loan. However, in August, 2008 they flatly refused to make the payment.

3. The Appellant filed Suit for recovery of Rs.19,990,000/- with mark up at the rate of 18% per annum from November, 2004 till realization of the suit amount. The matter proceeded against the Respondents ex-parte. The Appellant produced ex-parte evidence. Thereafter, the Respondents filed an application for leave to defend the suit along with an application for condonation of delay which were dismissed vide orders dated 5-10-2013. The Trial Court decided the Suit ex-parte vide the Impugned Judgment and Decree. The Trial Court has granted recovery of three out of nine of the Respondents' cheques in favor of the Appellant while recovery in respect of the remaining six cheques has been denied on account of the Suit being time barred and in respect of one cheque out of the six also on account of the fact that it was presented before the due date. The Suit was decreed for Rs.6,390,000/-.

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4. The Appellant in RFA No. 152 of 2013 assailed the refusal of decree in respect of six cheques. Whereas, the Respondents filed RFA No. 46 of 2017 assailing the decree of the Suit to the extent of three cheques as well as orders dated 5-10-2013 passed in respect of applications for condonation of delay and setting aside of the ex-parte proceedings, respectively. For ease of reference, appellants in RFA No. 46 of 2017 will continue to be referred to as the Respondents.

5. The learned counsel for the Appellant in RFA No. 152/2013 who is also the Respondent in the connected RFA No. 46/2017 argued that the Trial Court was unable to appreciate that in case of acknowledgment of liability a fresh period of limitation arises and in the instant case such acknowledgment was firstly given in the form of issuance of cheques which has not been denied and secondly in the Application for Leave to Defend filed by the Respondents. As such he submitted that the Appellant was entitled to recover all the amounts covered by the nine cheques. He added that the Appellant has also claimed markup from November 2004 till realization of the suit amount which has not been granted by the Trial Court without any rhyme or reason. He argued that RFA No. 46 of 2017 is time barred.

6. The learned counsel for the Respondents in RFA No. 152/2013 who are the appellants in RFA No. 46 of 2017 pointed out that the Impugned Judgment was passed on 7-10-2013. The Respondents filed an application for certified copies on 12-10-2013 but was informed on 9-12-2013 that the file is in this Court in connection with RFA No. 152 of 2013 filed by the Appellant. The Respondents filed an application before this Court on 16-12-2013 and the copies were delivered on 31-12-2013 whereas, RFA 46 of 2017 has been filed on 9-1-2014 and as such the same was within the thirty days limitation period. The number was assigned to it after removal of objections. Even otherwise, he submitted that since RFA No. 152 of 2013 against the same Impugned Judgment was already pending as such RFA No. 46 of 2017 is also maintainable.

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7. On merits he argued that the Respondents' leave application was not time barred as summons were not issued to the Respondents nor was substituted service warranted under the circumstances. He explained that initially the suit was instituted before the Trial Court in 2009. However, subsequently due to change in pecuniary jurisdiction the matter was transferred to this Court. Thereafter upon another change in pecuniary jurisdiction the matter was fixed before the Trial Court once again. Upon such transfer the matter was fixed before the Trial Court for the first time on 30-11-2012 when notices were issued to the parties and their counsel. On 7-1-2013 none was present on behalf of the Respondents and it was reported that the Respondents were not residing upon the given address and as such repeat notice was ordered. On 8-2-2013 receipts were submitted but again issuance of summons/notices through registered Acknowledgement Due was ordered. On the next dates i.e. 8-3-2013 and 27-3-2013 repeat notice was ordered. On 4-05-2013 it was reported that service has been made upon the Respondents through Security Officer as per Process Server's report dated 3-5-2013 which the learned counsel for the Respondents argued that is not good service. Be that as it may, he argued that the Trial Court ordered repeat notice on 4-05-2013 yet on 17-05-2013 previous receipts were submitted. Thus he argued that the order for substitute service by way of publication on 23-5-2017 was unwarranted. Nevertheless on the subsequent date i.e. 10-6-2013 service was held good.

8. Without prejudice to the foregoing, he argued that the Process Server's report even otherwise do not reflect that summons were served on Form-4 and the contents of it show that only one page of summons was served meaning thereby that copy of plaint was not appended with such summons. In such circumstances he argued that service could not be held good against the Respondents. Moreover, he submitted that no order for ex-parte proceedings was ever passed. Last but not least, the learned counsel for the Respondents submitted that time period for filing of application of setting aside exparte proceedings is governed under Article 181, of the Limitation Act, 1908 and as such the application was within time. He

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submitted that the application for leave to defend the suit filed by the Respondents clearly mentions that summonses were not received. On merits, he submitted that cheques were issued by the Respondent No. 1 yet the suit has been decreed to the extent of three cheques against all four Respondents and as such the Impugned Judgment and Decree is liable to be set aside.

9. I have heard the learned counsel for the parties and have also perused the record.

RFA No. 152 of 2013:

10. The three year limitation period is to be reckoned from the date of dishonour of the cheques. Thus the suit filed on 18-12-2009 was time barred in respect of six cheques which were dishonored on 11-11-2006. There is no merit in the argument that a fresh period of limitation started from the date on which the Respondents filed their applications for leave to defend as such applications do not reflect any admission of liability rather the Respondents claim that they have repaid in excess whereas the cheques were issued by Respondent No. 1 as guarantee cheques which the Appellant did not return. Therefore, the Trial Court rightly refused to decree the suit to the extent of such cheques. Therefore, the instant RFA No. 152 of 2013 is **dismissed.**

RFA 46 of 2017:

11. The Respondents filed an application for certified copies of the Impugned Judgment and Decree within five days of its passing. The time spent for the Trial Court to inform the Respondents that the file is in this Court in connection with RFA No. 152 of 2013 would have to be excluded. Thereafter, the Respondents filed an application before this Court for certified copies within seven days. The copies were prepared on the same date but the Respondents received them after a delay of fifteen days. The RFA 46 of 2017 was filed after nine days of delivery of certified copies of the Impugned Judgment and Decree. As such, the appeal was filed on the

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35th day of the passing of the Impugned Judgment and Decree. Therefore, the instant Appeal was filed well within 90 days of the limitation period.

12. Even otherwise it is well settled law that an appeal cannot be dismissed on account of limitation if it arises out of a judgment in respect of which another appeal has already been filed within time and is pending. Reliance is placed upon *Government of Balochistan and others vs. Dr. Muhammad Tariq Jafar and others,* 2020 SCMR 1689. Since RFA No. 152 of 2013 was filed within time against the Impugned Judgment and Decree it makes no difference whether the instant Appeal was timely filed or not as the same cannot be dismissed on the point of limitation regardless of whether it was filed within time or not.

13. Now let me see if summons were properly served upon the Respondents in the Suit. Examination of the diary sheets reveals that the Suit was instituted on 18-12-2009. The matter was fixed for preliminary arguments on behalf of the Appellant/Plaintiff on several dates till 21-10-2010 when preliminary arguments were heard and summons were issued. The process server reports from November, 2010 show that service was made upon Responders No. 1, 2, and 3 through an employee namely, Usman Satti whereas no report in respect of Respondent No. 4 is available. On 22-11-2010 order for repeat notice was made. Thereafter, the diary available is of 22-09-2012 according to which the matter was received back from the High Court and notices to the parties were issued. On 6-11-2012 service report was unavailable and as such repeat notice was ordered to the parties. On 28-11-2012 matter was transferred by the District Judge to the Court of Mr. Muhammad Adnan, Additional District Judge, Islamabad. On 30-11-2012 notices were issued to the parties and their counsel. On 7-1-2013 it was reported that the Respondents are not residing at the given address and as such repeat notice was ordered and for correct address. However, process server report dated 6-02-2013 shows that Respondent No. 1 has been closed. On 8-2-2013 UMS receipts were submitted and the process server report reflects that service was made through counsel and

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issuance of summons/notices through registered Acknowledgement Due was ordered. On 8-3-2013 it was reported that Respondents No. 1, 2, and 3 are not residing at the given addresses whereas summons upon Respondent No. 4 have not been returned after service as such repeat summons/notices were ordered. On 27-3-2013 the case was adjourned due to strike of lawyers but repeat summons/notices vide TCS was again ordered for 15-04-2013. On 15-04-2013 none was present. On 4-5-2013 it was recorded that service of Respondent No. 1, 2 and 3 has been affected through Security Officer but due to strike of lawyers matter was adjourned to 17-05-2013 and repeat summons/notices through TCS/AD was ordered. On 17-05-2013 receipts along with delivery reports of previous service were submitted. No receipts of fresh service as ordered on 4-5-2013 are available on the record. Yet on 23-5-2017 the Appellant moved application for service through substitute service i.e. publication in newspaper which was accepted and on 10-6-2013 on receipt of publication the service of the Respondents was held good. The matter was fixed for ex-parte evidence on 26-6-2013.

14. The above examination of the diary sheets reveals that upon transfer to the Court of Mr. Muhammad Adnan, Additional District Judge, Islamabad conflicting reports of service were submitted. In any event, on 4-5-2013 it was reported that service has been made upon the Respondents No. 1, 2 and 3 through Security Officer. The Respondent No. 1 is a Private Limited Company stated to be managed and controlled by the Respondents No. 2 and 3 while the Respondents No. 2 has been described in the title of the Appeal as Managing Director of the Respondent No. 1. Under Section 48 of the Companies Ordinance, 1984 a document may be served on a company or on an officer thereof by sending it to the company or the officer at the registered office of the company by *inter alia,* leaving it at the registered office of the company. Be that as it may, the Process Server reports filed on 4-5-2013 does not reflect that plaint was appended with Form 4 as it merely states that summons containing one page has been served. Whereas, there is no report of service upon Respondent 4.

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Therefore, the Trial Court rightly ordered service to be repeated. However, there is no Process Server's report available in the record reflecting service after 4-5-2013. There is no report that the Respondents were avoiding service warranting service through proclamation.

15. Where a copy of the plaint is not served upon the defendant at the time of affecting service of summons the defendant could not be held to have been properly served. Form 4 has been specifically formulated wherein not only a plaint must be attached to notify the defendant about the pendency of the suit but also to inform him that he only has a limited period of time to approach the Court for getting permission to appear and defend the suit. Unless this information is communicated to the defendant in the required mode and manner no delay or default can be attributed to him and application for leave to appear and defend the suit cannot be held to be time barred. Reliance is placed upon *Muhammad Yasin vs. Sheikh Muhammad Pervaiz,* 2012 CLC 1141. The summonses were admittedly not published in the newspaper. Whereas, limitation period of 10 days for filing of an application for leave to appear and defend the suit under Order XXXVII, CPC commences when summons are served upon the defendant under Article 159 of the Limitation Act, 1908. Reliance is placed upon *Farrukh Nisar vs. Isarar Ahmed,* 2019 YLR 2569. It is trite law that where copy of the plaint in the suit has not been delivered to the defendant the question of computing limitation under Article 159 of the Limitation Act, 1908 does not arise. Reliance is placed on *Amar Jeet Singh vs. Sant Singh,* 2022 CLC 6. Thus the entire proceedings and the Impugned Orders dismissing the condonation application and application for leave to appear and defend the suit were illegal and were liable to be set aside[1].

16. In *Muhammad Ali Khalid vs. Muhammad Talha,* 2024 CLC 1184 it was held that where summons were not served as per Order XXXVII, Rule 2, Form 4, Appendix B, CPC publication cannot be issued and it could not be held that he was ever served, therefore, as and when the defendant

[1] *Abdul Qadar Memon vs. Shahid Umar,* PLD 2018 Sindh 163.

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appear before the trial court with the application for leave to appear and defend the suit limitation would start from the day he enters appearance.

17. In the instant case, the Respondents No. 1 and 4 through their company secretary, authorized vide their respective Resolutions dated 10-9-2013 and the Respondent No. 2 and 3, filed their application for leave to appear and defend on 11-9-2013 along with an application for condonation of delay by stating that they came to know about the suit filed by the Appellant against them on 4-9-2013 and as such the application filed by them on 11-9-2013 would be considered within time.

18. In view of the foregoing, the instant RFA 46 of 2017 is **partly allowed** only to the extent of setting aside the Impugned Judgment and Decree in respect of Cheque Nos. C6572660, C6572641, C6572661 dated 20-11-2006, 20-12-2006 and 20-12-2006, respectively and allowing the Respondents' application for setting aside of ex-parte proceedings with the result that the Respondents application for leave to appear and defend the suit shall be deemed pending and the matter is remanded to the Trial Court to hear and decide the Respondents' application for leave to appear and defend the suit on merits and to proceed and decide the Appellant's suit accordingly.

(SAMAN RAFAT IMTIAZ)
JUDGE

Announced in the open Court on the 2nd day of July, 2025.

JUDGE

Tanveer Ahmed/*

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